Internal auditing:

assurance and consulting → information.

add value → objectives

→ Risk management → uncertainty. → Risk → -ve ex management employee fraud.
→ opportunity → +ve ex New product line

→ Governance → board of directors

→ Control → management → mitigate Risk → acceptable (reasonable) level.

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objectives:

① strategic: stakeholders interests

② operational: efficiency and effectiveness of operation.

③ Reporting: Accuracy, timelines, transparency.

④ Compliance: Laws and regulations.

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who has benefit from auditing:

→ direct benefit:
- management
- board of directors

→ indirect benefit:
- investors.
- suppliers.
- creditors.

→ Assurance.
examine → evidence quality.
↳ Reasonable assurance.
• 3 parties:
↳ auditors
↳ auditee
↳ users.

→ Consulting.
advice
• 2 parties:
↳ auditor
↳ customer

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* auditing must be :

1. Independance:
Free from biase
→ board of director
«organizational status»
«profession»

2. objective:
natural
unbiased
«mental attitude»
«person»

→ qualifications 5C
1- Competence: skills, Knowlage.
2- Credibility: trust, integrity
3- Connectivity: stakholders
4- Communication: oraly. / written.
5- Courage → independent
→ objectivity
→ stand for his results